War I period. Poor performance in the 1960's was the result of staying with the "smokestack" companies that did so well in the 1950's. Poor performance in the 1970's was the result of a philosophical commitment to the growth concepts that had worked in the 1960's, as well as overconfidence concerning the ability of public policy to deal with economic and price stability. Poor performance in the 1980's will be the result of myopia borne out of the experience of the 1970's.

Specifically, investors should question the set of widely accepted assumptions that now dominate the psyche of investors. A few of the more obvious of these are:

—Inflation is bad for stocks
—Inflation will be the major economic problem of the next decade
—Worldwide depression is highly unlikely
—Stock prices and bond prices move together
—The energy problem is a growth inhibitor
—Risk and variability of return are synonymous
—Highly diversified portfolios are desirable as a protection against risk

Answers to such questions don't come easily. Nevertheless, a recognition that there are no absolute truths in this business requires that they be asked, for we are almost assuredly in one of those rare and crucial decision periods, the aftermath of which will dominate the investment records of portfolios for years to come.